

IND AS 109 — EXPECTED CREDIT LOSSES (ECL)

Staging, Measurement & Red-Flag Framework

1. THREE-STAGE ECL MODEL

Stage 1 — No significant increase in credit risk → 12-month ECL

Stage 2 — Significant increase in credit risk → Lifetime ECL

Stage 3 — Credit-impaired → Lifetime ECL + interest on net carrying amount

2. SIGNIFICANT INCREASE IN CREDIT RISK (SICR)

Compare risk of a default occurring at the reporting date with the risk at initial recognition. Indicators include adverse rating migration, past-due > 30 days (rebuttable), collateral deterioration, adverse macro factors.

3. MEASUREMENT PRINCIPLE

ECL is a probability-weighted estimate of credit losses (present value of cash shortfalls). Must use unbiased probability-weighted outcomes, time value of money, and reasonable & supportable information including forecasts of future economic conditions.

4. JOURNAL ENTRIES

Dr Impairment Loss (P&L;)
 Cr Loss Allowance (Balance Sheet)

On write-off:
Dr Loss Allowance
 Cr Gross Carrying Amount of the Financial Asset

5. RED FLAGS

- Optimistic staging (keeping exposures in Stage 1)
- Systematically optimistic forward-looking scenarios
- Unsupported recovery rates or discount rates
- Large management overlays without transparent disclosure
- Sudden Stage 3 transfers timed with reporting pressure

Source: Official Ind AS (2025-26) · Prepared by Dr. Debasis Pahi